11. The basic concept used in Keynes Theory of Employment and Income is…….

(a) Aggregate demand

(b)Aggregate supply

(c) Effective demand

(d) Marginal Propensity Consume

12. The component of aggregate demand is ……

(a) Personal demand

(b) Government expenditure

(c) Only export

(d) Only import

13. Aggregate supply is equal to ……

(a) C + I + G

(b) C + S + G + (x-m)

(c) C + S + T + (x-m)

(d) C + S + T + Rf

14. Keynes theory pursues to replace laissez faire by ……

(a) No government intervention

(b) Maximum intervention

(c) State intervention in certain situation

(d) Private sector intervention

15. In Keynes theory of employment and income, …….. is the basic cause of economic depression.

(a) Less production

(b) More demand

(c) Inelastic supply

(d) Less aggregate demand in relation to productive capacity.

16. Classical theory advocates ……

(a) Balanced budget

(b) Unbalanced budget

(c) Surplus budget

(d) Deficit budget

17. Keynes theory emphasized on …… equilibrium.

(a) Very short run

(b) Short run

(c) Very long run

(d) Long run

18. According to classical theory, rate of interest is a reward for ……

(a) Investment

(b) Demand

(c) Capital

(d) Saving

19. In Keynes theory , the demand for and supply of money are determined by ….

(a) Rate of interest

(b) Effective demand

(c) Aggregate demand

(d) Aggregate supply

20. Say's law stressed the operation of ……. in the economy.

(a) Induced price mechanism

(b) Automatic price mechanism

(c) Induced demand

(d) Induced investment

12-Economics-Chapter_3.indd 49 2/6/2020 11:47:45 AM